March 10, 2021

Honorable Michelle Phillips
New York State Public Service Commission
Three Empire State Plaza
Albany, New York 12223-1350

Case 19-G-0678: Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid

Dear Secretary Phillips,

We are a group of fourteen organizations writing to express our opposition to the proposed Second Amendment to Settlement Agreement in Case 19-G-0678 ("the Amendment"). We urge the Public Service Commission ("Commission") to reject this proposal.

While framed as giving relief to ratepayers during the COVID crisis and a boon to energy efficiency, the amendment does nothing to advance energy efficiency beyond what National Grid has already been ordered by the Commission to achieve. Further, the amendment is not needed to reduce bills. The Commission already has the power to set National Grid's rates at a level affordable to customers by denying the Company's request to charge ratepayers for the construction of unnecessary and unpopular gas infrastructure projects, rejecting raises to executive salaries, and reducing the Company's grotesque profits. Further, by allowing National Grid to move shareholder penalty money meant for renewable energy into the rate case to offset energy efficiency costs there, the Amendment goes against the spirit and the letter of the Order Adopting and Approving Settlement.

To be clear: we adamantly oppose National Grid's proposed rate hike in downstate New York, which the Amendment seeks to partially mitigate by "minimizing the impacts of energy efficiency and demand response programs on customers' bills during the challenging economic circumstances caused by the COVID-19 pandemic."[1] National Grid's proposed rate hike is particularly inappropriate at a time when thousands of the Company's customers cannot pay their bills. Yet to frame the proposed amendment as being in the interest of ratepayers who are suffering during the pandemic is misleading and manipulative; if anything, it would be a covert gift to a company that, as the monitor affirmed as recently as Monday, March 8, continues to mismanage its business, and continues to put corporate interests above those of ratepayers.

[1] Second Amendment to Settlement Agreement (page 2)
http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId={15589897-AD17-456D-B20F-43C34EC77E40}

By approving the Amendment, the Commission would be allowing National Grid to redesignate fine money to temper bill increases, rather than using other tools at its disposal to address utility costs. We find this particularly troublesome at a time when the company has raised dividends for its shareholders during a pandemic[2] and recklessly spent upwards of $80 million (and counting) on infrastructure for which it does not yet have rate recovery approval[3]—the very infrastructure vehemently opposed by the public in this proceeding. The absurdity of this should go without saying.

As stated in that Order approving the settlement in November 26, 2019, the purpose of the settlement was to "resolve the allegations made in the Order to Show Cause," which alleged that National Grid, through the gas moratorium imposed on May 15, 2019, caused "undue hardship to more than 3,700 existing and new customers." National Grid did this, in part, by failing to explore and have at the ready alternatives to the Williams NESE pipeline as a means of satisfying customer demand for heating and cooking services. For this reason, the Commission earmarked $20 million out of $36 million in total fines to go towards clean energy as a way of "reduc[ing] reliance on fossil fuels" and ensuring that such a moratorium would, with the help of renewable energy, never happen again.

It is very clear, in other words, that the fines imposed in the Order were intended to address and resolve the specific issues surrounding the specific violations cited therein. This means, firstly, that the $20 million in question should remain attached to the development of clean energy, the lack of which contributed as much as anything to the entire debacle. In addition, to the extent that the Order was also intended to redress the grievances of affected ratepayers, who, in over 9,000 public comments and testimonials in case 19-G-0678, expressed their overwhelming support for clean energy development, the Commission should insist that the fines be used for this original intent.

We also note that amending the Settlement would amount to an additional affront to ratepayers in terms of due justice. It is clear that the Settlement was intended to be partly punitive, which is to say that the fines levied therein should be felt by the Companies as such—as an extreme inconvenience intended to dissuade it from engaging in future reckless behavior. By allowing those fines to be shifted out of this punitive realm and into the rate case, where the money would be used to pay for the Company's own energy efficiency programs, the Commission would essentially be mitigating the punishment by allowing the company to apply it in a manner that suits convenience. Indeed, the Order states in Section VII that "National Grid and its affiliates shall be prohibited from receiving any such funding under this section." Through the proposed Amendment, National Grid would be able to indirectly benefit from an order that had specifically forbidden this. The entire proceeding would be weakened, as would the public image of your commission as one capable of upholding its own regulatory enforcements.

To be sure, we are undoubtedly happy any time funds are designated for energy efficiency, which is the proposed new target for the fine. Yet, the initial settlement already set aside $8 million out of the total $36 million for demand-side measures. Meanwhile, the Amendment provides for no new energy efficiency above and beyond what the utility is already required to achieve. Though the preamble to the Amendment discusses the Company's intent to "significantly accelerate its investment in energy efficiency and

[2] National Grid Q4 Earnings Call Transcript, June 2020.
[3] Calculated by cross referencing National Grid's quarterly reports with publicly available rate case information.

demand response programs to reduce natural gas usage, support customers' energy needs, and advance New York's clean energy goals," the actual terms of the Amendment simply allow National Grid to apply the fine money to energy efficiency budgets already required by the Commission through the New Efficiency New York Order from 2020.

This means that $20 million that was meant to fund "clean energy projects and/or investments in New York-based startup energy businesses and technologies to reduce reliance on non-renewable sources" will be diverted in a way that has no measurable impact on clean energy or energy efficiency, and will not reduce reliance on fossil fuels. Indeed, the Amendment would have the effect of actually eliminating the budget for the clean energy projects that were to be funded by National Grid shareholders, meaning $20 million of fossil fuel displacement *would not happen.* And all as the need to electrify grows more urgent by the day.

We remind the Commission that the integrity of Case 19-G-0678 has already been compromised by the State's failure to deliver, by June 2020, a decision on National Grid's proposed infrastructure, as required by Section IV of the Settlement terms. That section stated:

> National Grid agrees that a long-term option or options should be identified and agreed to by the State of New York by June 2020 to allow a safe and adequate construction and transition period and have the long-term option or options in place and functioning in approximately two years.

Instead, the Commission's response to the demands of thousands of commenters opposing the utility's fossil fuel projects and clamoring for the proposed no-infrastructure option as the long-term capacity solution has been silence. This failure by the Commission or another State entity to respond to the public comments has been magnified by the decision made by DPS staff (the same parties to the Amendment agreement) to move the discussion about the fate of National Grid's publicly opposed gas infrastructure projects into confidential rate case negotiations, where they are largely shielded from public scrutiny. The Commission has thus effectively turned its back on those it has the greatest duty to protect. With the addition of an amendment that would allow National Grid to avoid investing in clean energy, the Commission would only be further weakening a case that the public has long suspected of being little more than an exercise in corporate damage control enabled by a captive regulator, not a sincere effort to right public wrongs and protect the planet.

The public has waited long enough for accountability in this proceeding. We urge the Commission to reject the proposed Amendment as it is not in the public interest, not in the spirit of the initial settlement, and not responsive to the thousands of comments submitted in this case. In addition, we once again urge the Commission to reject National Grid's proposed fossil fuel infrastructure projects as the solution to the Company's long-term capacity issues and to embrace the no-infrastructure option as the only viable path forward.

Sincerely,

Jessica Azulay, Alliance for a Green Economy

Jonathan Westin, New York Communities for Change

Lisa Bloodgood and Willis Elkins, Newtown Creek Alliance
Robert Wood, NYC-DSA Ecosocialist Working Group
Katherine Conkling Thompson, NoNBKPipeline Coalition
Kim Fraczek and Lee Ziesche, Sane Energy Project
Noelle Picone and Saylor Pochan, Surfrider Foundation, NYC Chapter
Laura Shindell and Eric Weltman, Food & Water Watch
George Povall, All Our Energy
Sara Gronim, 350Brooklyn
Lindsay Meiman, 350.org
Jen Chantrtanapichate, Sixth Street Community Center
Wendy Brawer, Green Map System
Charles Krezell, LUNGS (Loisaida United Neighborhood Gardens)